

Performance in 2025

We use key performance indicators to measure the Group's implementation of priority projects for the benefit of relevant groups progress achieved while developing a deeper understanding of the Group's overall compensation results.

financial performance indicators

- For details on financial performance in 2025, please see Sections 2 and 14 ??
- Stmt. on performance Please see page 12 for details.
- In order to be more in line with market practice, starting from the 2025 annual results, we will no longer The post-tax impact of "Share Capital" shall be Average return on tangible Rate increases by 16
- About alternative performance For reconciliation, see page 92.

Return on average tangible

13.3%

(2024: 14.6%)
Not counting items that Return on average tangible

17.2%

(2024: 15.6%)
operating expenses

\$36.4 billion

(2024: US\$33 billion)
Target Baseline Operating Expenses

US\$33.5 billion

(2024: US\$32.5 billion)

Profit before tax

\$29.9 billion

(2024: US\$32.3 billion)
Not counting items that Profit before tax at

\$36.6 billion

(2024: US\$34.2 billion)
Common Equity Tier 1 Capital Ratio

14.9%

(2024: 14.9%)
2025 dividend per share
\$0.75
(2024 dividend per share: \$0.87, including Special dividend \$0.21 per share)

Strategy performance indicators

- For details on
- For details on Page 25.
- For details on See page 36.

Simplify organizational structure

US\$1.2 billion

Annualized impact of cost-saving measures in 2025

Growth in wealth Mgmt. business

\$80 billion

Sustainable Development Financing and

\$495.6 billion (4,)

Cumulative total provided and facilitated since January 1, 2020 (2024: US\$393.6 billion) (3,)

Relevance to salary

- For details on executive director remuneration and performance in 2025, please see Page 216 "Director Remuneration

Remuneration policies help ensure rewards are aligned with long-term sustainable performance to support the Group in achieving its strategic goals. Remuneration policy package Including reviewing performance based on financial and non-financial measures, This is used to determine the overall variable remuneration of colleagues and executive directors.

Executive Directors' Annual Awards 2025 and 2023 to 2025 Key financial and strategic performance indicators recorded in the ?th period of award scoring Marked with the following symbols:

 anniversary reward

 ?Rewards

strategy report	environment, society and governance reporting	Fin. review	risk review	Corporate Governance Report	Fin. statements	Supplementary Info.
Summary						

prospects

Group Fin. targets

- Our target is an average of 2026, 2027 and 2028 The return on equity has reached 17% or even higher (excluding required items to be noted). This revised target reflects group earnings an increasing trend, and our progress in strategy execution Think. - We will target annual revenue growth from 2026 to 2028 Target, strive to increase revenue in 2028 compared with 2027 5% (excluding items requiring attention and based on a fixed exchange rate calculation). - Dividend payout ratio targets for 2026, 2027 and 2028 The benchmark remains at 50%. Our target base payout ratio It is based on earnings per share (excluding significant items requiring attention and 2026 impact).

- We estimate that expected credit loss provisions in 2026 will account for As a percentage of the total average, approximately 40 basis points (taking into account holding loan balance for sale). In the medium term, we will Maintain this percentage within the planned range of 30 to 40 basis points. - The entire group continues to adhere to cost discipline. Compared with 2025 In comparison, we strive to maintain the growth rate of target benchmark operating expenses. Holding about 1%. - Target basis operating expenses are not included in the measurement and need to be noted Items of interest, but accounting and related briefs on announced restructuring plans the cost-saving impact of architectural measures. - We intend to continue to increase our common equity tier 1 capital ratio to The target range remains between 14% and 14.5%. Because of private Youhua Hang Seng Bank's common equity level 1 in January 2026 Capital generated a net impact of 110 basis points (based on our Common Equity Tier 1 capital ratio as of December 31, 2025 rate), the capital ratio may fall below Our target range. The above net impact includes the first day's impact on the general The impact on equity tier 1 capital ratio is about 120 basis points, but due to incremental hedging-related structures FX risk-weighted assets This was partially offset by a reversal of approximately 10 basis points.

- We expect to generate capital through our own operations, and common equity tier 1 capital ratio returns to or above the target range will not initiate any further share repurchases before the Equity Tier 1 capital ratio returned to within the target range. re The decision to initiate share repurchases will depend on our quarterly Considerations and processes for repurchase.

► Our targets and Outlook of environmental and (as of end-January 2026), level.

► We have not rate of return, constant Target Benchmark Operating Expenses, Forward guidance on the Benchmark metrics for reconciliation.

► Return on average rate, fixed exchange rate Business net interest income, For details on ratio For details of the

Reshape the group and drive growth

Privatizing Hang Seng Bank - On January 26, 2026, after approval by shareholders and the court, We completed the privatization of Hang Seng Bank. Hang Seng Bank is currently A wholly-owned subsidiary of the HSBC Group, its shares are already in Hong Kong The Stock Exchange revokes its listing status. This transaction reflection set The group is confident in Hong Kong's prospects and further consolidates the Group's market leadership position. - By privatizing Hang Seng Bank, we expect two Hong Kong products Brand could achieve more than \$500 million before tax by the end of 2028 Revenue and cost synergies, related restructuring costs to US\$600 million. These costs are reported as significant and require attention project. We plan to focus on savings from cost synergies The new allocation to HSBC provides a range of competitive advantages and value-added returns. domain. - Our ambition also includes having two Hong Kong brand further generates approximately US\$400 million in revenue and costs opportunity.

Simplify organizational structure - In the 2024 full-year results, we announced the simplification of the group structure agency measures, committing to reduce the cost base by approximately US\$1.5 billion. Annualize costs and plan to simplify organizational structure to predict It is planned to achieve the goal by the end of 2026.

strategic trading - We also focus on HSBC's clear competitive advantages and added value return opportunities and plans to convert non-strategic businesses into Approximately \$1.8 billion in additional cost savings from the campaign were reinvested to these categories. This amount is higher than US\$1.5 billion, reflecting our We intend to redeploy the capital generated through the privatization of Hang Seng Bank Additional cost savings of \$300 million from synergies. - In 2025, we will further announce 11 transactions, which will definitely Helps enhance the investment capabilities required to achieve business growth. at In the fourth quarter of 2025, we complete the sale of French reserved houses and certain other loan portfolios, French life insurance operations, German private banking and Bahrain retail banking. Already Completed or announced transactions expected to generate approximately \$700 million annually Reduce the cost of reallocating space. Related businesses will be launched in 2025 Contributing approximately US\$1 billion in revenue.

- Targeted launch of retail business in Australia, Indonesia and Egypt The strategic review is still ongoing and no decisions have been made yet. Determined. The Group's corporate and institutional financial services in the above markets It has not been affected by the review. In addition, we have carried out Strategic review of HSBC Life Singapore.

Progress in increasing scope - In terms of wealth management business, we are moving towards wealth management Focus on business investment and hire more account managers. in 2025 As of December 31, 2019, the wealth management industry of each business segment of the Group The financial balance reached US\$2.1 trillion, an increase from the same period last year 16%. Among them, the net new investment assets we attracted reached US\$80 billion, of which US\$39 billion was accounted for in Asia. In comparison, the net new investment assets in 2024 will be US\$64 billion, of which US\$47 billion was accounted for in Asia. - Transaction banking continues to perform well and we take full advantage own networks and capabilities to understand changes in trade and capital flows opportunities brought about by change. In 2025, wholesale transaction banks The business's expenses and other income performed well, compared with 2024 An increase of 4%, especially benefiting from the growth of global foreign exchange business.

► For details on strategic progress to 2025, please see "Group Strategy".

► Details of businesses Please refer to Note

Group Profile

Founded in 1865, HSBC is one of the world's largest banking and financial services institutions.

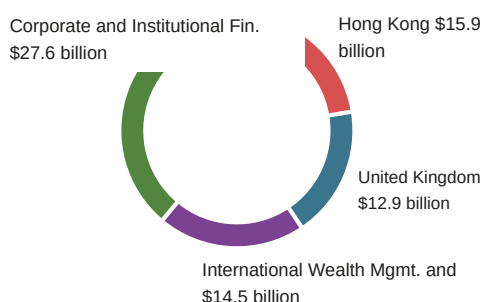
We use our unique expertise, capabilities, understanding and vision to help our clients explore global opportunities.

Group strategy The Group's strategy supports our ambition to become the world's most trustworthy bank by always putting customers first and service first. We have a huge International network, stable and strong asset and liability strength, and through the provision of group products and services, we are committed to meeting the financial needs of customers and supporting them to achieve their goals. Goal, galloping in the complex and ever-changing global market.

Priorities	Streamlined architecture, Flexible and sharp	Promote customer-oriented culture	Achieve focused Sustainable growth
► For details on Page 9.	Our goal is to make decisions quickly and stably. Appropriate, keep up with trends, adapt to changes, promote Simplify the structure and use technology and digitalization technology to prepare for the future.	We are highly customer-oriented and help our customers win. Achieve outstanding results and strive to increase customer loyalty degree, and is involved in various businesses of the group in many areas, providing services to customers in the long run service.	As a premier international bank, we Committed to promoting long-term sustainable growth, paying equal attention to Identify areas of competitive advantage.

Organizational structure

Revenue by business (\$bn)¹



¹ Calculated based on revenue by business segment, excluding Corporate Centers.

Hong Kong

The Hong Kong business has a market leading position, including the Hong Kong HSBC and Hang Seng Bank's retail banking and wealth management industries services, as well as industrial and commercial financial services.

United Kingdom

The UK business has market leadership positions, including Zero Sales of banking and wealth management businesses (including first direct and M&S Bank), as well as UK industrial and commercial finance business (including including HSBC Innovation Bank).

Corporate and Institutional Financial Management

Corporate and institutional financial management business is a cross-border transaction bank and capital Market leaders in the two fields of marketing business, among which the United Kingdom industrial and commercial financial services outside China and Hong Kong, as well as global banking banking and capital markets business.

International Wealth Management and Financial Excellence

International wealth management and financial excellence businesses include Hong Kong and Excellence in wealth management and private banking outside the UK services, investment management business and insurance business.

► For details of the Group's four major businesses and corporate centres, please see pages 16 to 24.

HSBC values

HSBC's values guide all the Group's actions, from strategic decisions to daily interactions with customers and colleagues. Our values are rooted in HSBC's history, heritage and corporate culture. The foundation helps us implement the group's purpose.

We go all out

Fast pace, ideals come true

We respect differences

Collect opinions and brainstorm

We have the courage

Hold each other accountable

We work together for

Cross-border cooperation, hand in